

Elm (Tadawul: 7203) — Mergers & Acquisitions

The SAR 3.4 billion Thiqah deal: how do you buy growth without buying trouble?

Case Background

Elm is Saudi Arabia's leading digital arm for government transformation, majority-owned by the Public Investment Fund (PIF). It listed on Tadawul in February 2022 at SAR 128 per share, jumping 30% on day one. It operates vital national platforms and enjoys net margins above 20% — the exact opposite of the Nice One case we discussed last week. But the question here is different: **what does a profitable giant do when it wants growth faster than it can build it? It buys it. The harder questions: at what price, under what governance, and from whom?**

The Numbers: Growth Path (SAR mn)

Period	Revenues	Net Income	Net Margin
2023	~5,870	1,350	~23%
2024	7,400	1,800 (+35%)	24.3%
2025 — acquisition year	9,470 (+27.8%)	2,090 (+14.5%)	22.1%
Q1 2026	2,472 (+31.7%)	656 (+32.5%)	26.5%

Anatomy of the Thiqah Deal (January 2025)

- **The deal:** Elm acquired 100% of Thiqah Business Services from PIF for SAR 3.4 billion, funded from own sources plus credit facilities (roughly SAR 1.9 billion of debt).
- **Price vs. earnings:** Thiqah posted 2023 sales of SAR 1.57 billion and net profit of SAR 180 million — meaning Elm paid roughly 19x Thiqah's earnings. Expensive, or justified by integration? Thiqah's income equals about 25% of Elm's.
- **Related-party governance:** the seller (PIF) is also the buyer's largest shareholder, with an indirect interest disclosed for two board members — disclosed, with an independent financial advisor (HSBC) and legal counsel appointed for the deal.
- **Common-control accounting:** because both parties sit under common control, no goodwill is booked; the difference between consideration and book value was charged to retained earnings — shareholders' equity fell from SAR 5,489 mn to SAR 3,932 mn within a year, and return on equity "optically" jumped to ~48%.

The market paradox: Q1 2026 profit rose 32.5% and revenue 31.7%, yet the share trades near SAR 598, down about 41% over a year (while still +259% since its first trading day). Operating expenses rose 45% and finance costs increased SAR 29 mn on deal debt. The market does not reward purchased growth immediately — it waits for proof of integration and deleveraging.

Council Discussion Questions

1. When is acquiring better than building in-house? Set three quantitative criteria that settle the decision before looking at any specific deal.
2. 19x earnings for an unlisted company — how do you evaluate that price? Which synergies justify it, and when do "synergies" become mere rationalization?
3. Buying an asset from your own largest shareholder: what safeguards protect minority shareholders in related-party transactions? Were they sufficient here?
4. Equity fell by SAR 1.5 billion while ROE jumped to 48% — how do you read financial ratios after common-control deals without being misled?
5. Local projection: your Hail venture grows slowly, and you are offered a local competitor at a high price funded by a loan — what are the first three questions you ask before signing?

Key Lessons

1. **Purchased growth is paid for twice:** once in cash and debt at signing, and again through the income statement (depreciation, amortization, finance costs) for years afterward.
2. **Governance is not a luxury in related-party deals:** disclosure, independent advisors, and general-assembly approval are what turn a suspicious-looking deal into a legitimate one.
3. **Understand the accounting before judging the numbers:** the same deal can show a spectacular ROE simply because the denominator shrank — the smart investor rebuilds the ratios before comparing.

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